

ARBA MINCH UNIVERSITY



ISSUE OF EXPROPRIATION; THE LAW AND PRACTICE IN ARBA MINCH TOWN
A SENIOR ESSAY SUBMITTED TO SCHOOL OF LAW IN PARTIAL FULFILLMENT
OF THE REQUIREMENT FOR THE DEGREE OF BACHELOR OF LAW (LLB) IN
ARBAMINCH UNIVERSITY SCHOOL OF LAW

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December 2011_{EC}

Declaration

I, the undersigned, declare that the thesis comprises my own work. In compliance with widely accepted practices, I have duly acknowledged and referenced all materials used in this work. I understand that non-adherence to the principles of academic honesty and integrity, misrepresentation/fabrication of any idea/data/fact/source will constitute sufficient ground for disciplinary action by the University and can also evoke criminal sanction from the State and civil action from the sources which have not been properly cited or acknowledged.

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Thesis Approval

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Acknowledgment

Many people have contributed for the completion of this study. First and for most I would like to thank my lord. I would like to extend my deepest gratitude to my advisor instructor Tibebe Solomon (LLB, LLM) for his unreserved and valuable advice encouragement and provision of relevant material without his contribution, this paper would not have been possible. I wish also to thank my family for their unreserved support to stand me in this position and to complete my thesis and I would like to express my thanks to my friends for their moral support and friendly concerns. And lastly I wish to express my heartfelt appreciation to individuals who in one way or another contributed to the accomplishment of this paper.

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ACRONYMS

FAO:.....Food and Agricultural organization

FDRE:.....Federal Democratic Republic of Ethiopia

FED.NEG.GAZ:.....Federal Negarit Gazeta

FIG.....Federation of international surveyors guideline

SNNPR:.....South Nation and Nationalities and Peoples
Region

ABSTRACT

This paper reviews and analyses the expropriation law and practice in general over view in South Nation and Nationalities region Gamo Zone special focus in Arba Minch town. The objective of the thesis is to analyze and describe the land rights and expropriation laws in Gamo zone Arba Minch town and to compare them with the practice in order to determine and examines particularly the adequacy of compensation, procedural process, about public purpose during expropriation process. The study is made against mainly with expropriation proclamation and other legislations which provide the basic land rights and the nature and details of expropriation.

The basic argument made in this thesis is that even if the Ethiopian Constitution provides and guarantees the payment of commensurate compensation to the people, this right has not been fully realized whether in terms of procedural safeguards in case of expropriation, the issue of public purpose and payment of fair compensation in the event of expropriation.

The reasons have to do either with the faulty nature of the laws or with their implementation by public authorities. From the outset, the constitution excludes land as a subject of compensation. For this reason, land is being excluded from the compensation package and hence it has no value for the holder. Urban land holders are denied location value of their property, which they can collect it otherwise during sale, and hence the compensation becomes unfair. As a result of this citizens who have been affected by the expropriation are facing difficulty to restore their life because of low amount of compensation and public purpose has also become a looming crisis to the life of the expropriated people. There are also other reasons which are related to the law or its practical applicability, such as procedural irregularities like absence of public discussion, due notice and valuation process which reduces the amount of compensation.

CHAPTER ONE:

1 INTRODUCTION

1.1 Background of the study

In Ethiopia land is the main economic, political, social and cultural asset. The term lands in the most general sense, comprehends any ground, soil, or earth whatsoever; as meadows, pastures, woods, water, marshes, furze, and also indefinite extent upwards as well as down wards.¹ Land legally includes all house standing or built on it. It remains an asset that peoples have accumulated wealth and transfer the same to future generation. More over the issue of land has never simply remained to be an economic affair but also it is very much intertwined with the people's culture and identity. In overall idea land related issue in developing countries like Ethiopia is the most sensitive part of country in overall development that government needs to consider.²The FDRE constitution under article 40(1) recognizes the right of every Ethiopian to own private property with all its benefit. In Ethiopia the right to ownership of rural and urban land as well as natural resources exclusively is vested on the state and peoples of Ethiopia. In line with this land is not subject to sale under Ethiopian legal frame work.³

The federal as well as the southern nation nationalities and peoples region (here in after called SNNPR) rural land proclamations also create free access to rural land for a person above 18 years and any person who is above to 18 year may claim land for agricultural activity and women's also are encouraged to get and use land.⁴

We should also understand about what land tenure is? He/she who actually possesses the land technically called land tenure.⁵ Land tenure is an institution developed by society, i.e., rules invented by societies to regulate behavior.⁶ Rules of tenure define how property rights to land are to be allocated with in societies. They define how access is granted to right to use, control, and

¹ Black's law dictionary (2nd edition) retrieved from <https://the law dictionary.org/land/>.

² Ibid.

³Constitution of Federal Democratic Republic of Ethiopia, 1995, Art 40(3), proclamationNo.1, Fed. Neg. Gaz., year 1, no.1

⁴ Federal Democratic Republic of Ethiopia Rural land administration and Land use Proclamation, 2005, Art 5(1) (a&b), Proc. no. 456, Fed.Neg. Gaz., year 11, no.44& The Sothern Nation Nationalities and Peoples Regional state Rural Land Administration and Use proclamation,2007, Art 5(2)Debub. Neg. Gaz.,year13, no.10

⁵ Murado Abdo, "Reforming Ethiopian Expropriation Law," Mizan Law Review , vol. 9 (2015), p.303

⁶www.fao.org/docrep/ what is land tenure, accessed at 29/11/2018:9:00 AM.

transfer land, as well as associated responsibilities and restraints.⁷ In simple term land tenure system determine who can use what resources, for how long and under what conditions. Land tenure may be private, communal, open access (like marine tenure), state tenure.⁸

With regard to scope of land right under Ethiopian legal frame work people may has the right to use: to control, protect from illegal expropriation and right to transfer. There are many different uses of land and these land tenure right should be protected so as to ensure tenure security i.e. persons right to land will be recognized by others and protected in case of different challenges that unsecured tenure face from that eviction is the one if this security is not secured landlessness may occur.

There are different proclamations⁹ enacted to secure land security and also the constitution states that the federal government shall enact law for utilization and conservation of land and other natural resources.¹⁰ Therefore as it is clearly stated under the supreme law of the land (FDRE constitution) the power to issue laws which is related to land and natural resources is vested in the federal government and regional states has conferred with the power to administer the land in their respective territory in conformity with the general frame work laid down by the federal government.¹¹ At this juncture it is better to understood that there is no right in absolute sense without any limitation, and property right or land holding right is not also an exception to this. The constitution of the FDRE and other subsidiary legislations provides the limitation of property and land holding right of holders in case of expropriation with payment of commensurate compensation.¹² Expropriation is the right or power of sovereign state to appropriate private property for particular use for purpose of promoting the general welfare.¹³ The expropriation proclamation also provides urban or rural land may be expropriated for public purpose with payment of compensation.¹⁴ However regions does not have regulation (SNNPR is

⁷ Ibid.

⁸ Ibid.

⁹ Expropriation of Land Holding For Public Purpose and Payment of Compensation Proclamation, 2005, Proc. No. 455, Fed. Neg. Gaz., Year 11, no. 43

¹⁰ FDRE constitution, 1995, Cited above at note 3, Art.51

¹¹ Id., Art.52

¹² FDRE constitution, 1995, cited above at note 3, Art. 40(8)

¹³ Henry c. Blacks, Blacks Law Dictionary, 5theds,(1968)

¹⁴ Expropriation Proclamation, 2005, cited above at note 9, Art. 3(1)

the one) to implement the federal expropriation proclamation and to observe in practice the commensurate compensation principle of compensation enshrined under the constitution.

Therefore, this study will be conducted to describe the concept of expropriation, the amount and mode of compensation, the practice or procedure of expropriation and its compatibility with the law in Gamo zone.

1.2 Statement of the problem

It is undeniable fact that Ethiopia's recent economic growth has generated unprecedented demands for land for urban expansion, infrastructure, manufacturing, macro projects and other similar purposes. The scenario is not also different in Gamo zone. Particularly in Arba Minch town presently urbanization and investment is expanding. This reality necessitates enacting different laws to secure the land holding right. The constitution also granted the right against eviction of land holders from their use right without just cause and commensurate compensation. Since land is a key economic factor, thus access to land and effective use of land can ensure the respect and realization of fundamental human rights. But we have lack clear enforcement procedure regarding the payment of fair and commensurate compensation in case of expropriation as it is provided under the constitution and the same holds true in Gamo zone as well. The other problem is that whether the cause for expropriation is genuine for most cause land expropriation under the guise of public purpose. The last problem is about the procedure of the expropriation i.e. the appropriate body which has the mandate to expropriate land for public purpose follow the required procedures in conformity with the law or not. These are problems related with the expropriation and as it is revealed in many research findings¹⁵ which has been conducted in the SNNP region, SNNP is one of the regions which is highly vulnerable to land expropriation and as a result of this many land holders were exposed to different human right violations since the compensation paid to them is not enough to reconstitute their life as it was before had their land is not expropriated. Since there is limitation of similar research particularly studies which can convey the current situation in the study area and also there is existence of knowledge gap both in the side of the people and officials in the study area the researcher believe that this research may fill the aforementioned knowledge and research gaps.

¹⁵ Land grabbing and violation of Human rights in Ethiopia,(Published:26 January 2016) retrieved from <https://farmlandgrab.org/25706> at 05/12/11 ,8:pm

1.3. Objective of the study

1.3.1 General objective of the study

The basic objective of this research is to examine the law and the practice (procedure) in Gamo zone especially in Arba Minch town (seacha sub city) on the compensation, procedure compatible with the law and the last, what constitute public purpose.

1.3.2 Specific objective of the study

1. To assess the amount, mode and adequacy of compensation being applicable in the study , area
2. To examine the compatibility of the practice or procedure with the law.
3. To examine whether the expropriation in the study area constitute public purpose or not
4. To suggest possible recommendation for the problem, this could be revealed as research finding.

1.4 Research question

1.4.1 General question

The general question of this thesis is whether the practice of expropriation in Gamo zone is compatible with the law on the payment of compensation, procedure going to be observed and on it is inline with public purpose or not?

1.4.2 Specific questions

- ✓ Whether the amount and mode of compensation being applied in Arba Minch town is adequate or not?
- ✓ How far is the practice or procedure compatible with the law?
- ✓ Can we say the expropriation in Arba Minch town constitute public purpose or not?

1.5 Scope of the study

In terms of geographical scope, Even though SNNP regions have many zones due to limitation of resource and time the study will focus on Gamo zone, Arba Minch town special focus in seacha sub city. The study will mainly covers the practice of expropriation in Arba Minch town, (particularly in seacha sub city) and its compatibility with the current law which is in force to

govern expropriation of land. Particularly the study covers the observance of procedures during expropriation by the expropriating body, the mode and adequacy of compensation which has paid during expropriation and whether the expropriation in Arba Minch city constitute public purpose or not is also within the realm of the study.

1.6 Significance of the study

The researcher believe that this study will contribute to the effort of strengthen the legal frame work and practical performance of the government organs concerned with the payment of compensation for expropriation, and other related issues like what constitute public purpose and its procedural problem. Since the research jurisprudence of Ethiopian laws, particularly in the area of land law is in its infant stage this research may contribute something to the existing system. Moreover it will also be base for potential researchers to conduct further study on the issue and also significant to the appropriate body related with the issue and also for the people to have clear knowledge about the law and the practice. As a result of lack of knowledge on the side of the people who are expropriated from their land most of the time they suffer for procedural irregularities and exposed to the violation of their tenure right, therefore this researcher believe that acquainting peoples with necessary knowledge is one of the weapon in the process of prevailing tenure security and this study will contribute the same.

1.7 Methodology of the research

In conducting this study the researcher employed both qualitative primary and secondary data which is going to be collect in the following method

1.7.1 Methods of data collection

Primary source of data

The researcher has employed the following data collection methods in order to collect primary data sources.

- ❖ **Interview:-** The researcher uses semi structured and non- directed approach of interview since such approach of interview are well preferred for qualitative type of research design than unstructured (in depth) type of interview which is mostly used in quantitative research design. More importantly this approach allow researcher to further investigation

by introducing additional questions not anticipated at the start of the interview and to explore subjective meaning participants attach to the issue. The researcher conducted an interview with 4 municipality officials of Arba Minch town municipality and 2 judges from Arba Minch high court, and such persons are selected because they are much familiar with the issue and they entertain the problem at hand in their day today activities.

- ❖ **Questionnaires:-** The researcher prepared both open ended and close ended questions and disseminated them to 20 peoples which are affected by the expropriation in the study area.
- ❖ **Observation:-**The researcher will go to observe the area in order to investigate the existing problem in the study area. The researcher has used overt approach in conducting observation, since the researcher is not from the peoples in the study area he could conduct the observation by revealing his identity as a researcher.
- ❖ **Case analysis:-**The researcher has used use case analysis. Using cases which are related to issue of expropriation is helpful in order to examine the applicability and performance of current laws which are in force to secure the basic right of land tenure with that of the practice which is prevailed in the study area.

Secondary source of data

The study will be using the relevant primary documentary sources including FDRE constitution, federal land Expropriation proclamation no. 455/2005, Payment of compensation for property situated on land holdings expropriated for public purpose council of ministers regulation no. 135/2007, federal rural land Administration and use proclamation no.456/2005 SNNP rural land administration and use proclamation no. 110/2007, the urban Land Lease Proclamation no. 721/2011 and other relevant materials will be used to conduct the research. In addition to primary documentary sources the study will use secondary documentary sources including but not limited to Books, scholarly articles, journals, published and unpublished thesis which are relevant to the study at hand.

1.7.2 Sampling

Sampling is all about the way that the researcher chooses its respondents or informants, and the researcher have use the non-random sampling (purposive) form of sampling to choose the informants as it is fit for the research design.

1.7.3 Data analysis

As it is mentioned this study is focused on qualitative data and the focus of qualitative approach is meaning achieved by transforming information from the observation, and reports in to data in the form of written texts. Information collected from interview, questionnaire and observation will be analyzed by qualitative method. Therefore this research employs qualitative analysis of qualitative data. The researcher focus is on the land expropriation proclamation and other laws which have a focus on the protection of land tenure with the current practice of expropriation, compensation, and procedural issues during expropriation.

1.8 Limitation of the study

As we know study will not be easy task specially obtaining information for the purpose of the study will be demanding a burdensome task because of bureaucracy in the government institution. The other problems will be absence of organized information and those persons who choose for interview May unwilling to give the information properly. Time and financial constraints are also among the limitation by which the researcher expects to be faced.

1.9 Organization of the study

The study is organized into four chapters as follows. The first chapter introduces the reader with the study. It highlights the reasons that necessitated the research and the objectives that are intended to be achieved. It presents the statement of the problem, research questions, general as well as specific objectives of the research, literature review, significance and research methodology briefly. The second chapter deals with the issue of expropriation, compensation and the public purpose requirement as limitation of the state to take property in different subsection. Chapter three will be about the analyses of the law and practice with respect to expropriation, activities in Gamo zone in fura kebele or the laws and practices regarding the adequacy of compensation for taking of land holding rights over rural lands in SNNP will be critically assessed. The valuation method and systems; the compensation schemes and compensable interests in Ethiopia in general and SNNP in particular will be analyzed. The provisions of laws, including the FDRE constitution, the SNNP constitution, the implementing proclamations and regulations which are adopted in relation to the issue at hand both at federal and SNNP specifically in Gamo zone. Chapter four contains recommendation and conclusion. The whole

part of the research comprehensively will be concluded in this part, this summarization also followed by recommendation which will be helpful to solve the problem that will identified by the study.

1.10 Review of related literature

Different researchers in different time conducted their thesis on the issue of expropriation law and its application. Studies by Daniel W/Gabriel, Gudeta seifu and Abebe legese tries to, identify the law and the practical gap which have existed under Ethiopian expropriation regime. Daniel W/Gabriel in his thesis arrived to a conclusion that the authority of the state to expropriate land held by farmers and other citizens is limited by public purpose and payment of commensurate compensation, he stated that if the state takes a piece of land from persons without public purpose it amount to illegitimate expropriation or confiscation of land. He also adds that the same is true if there is taking of somebody plot of land without the payment of compensation. Furthermore the payment of compensation in the case of expropriation is founded among other up on the justification that the public should not enrich itself at the expense of its member and payment of compensation introduce disciplined taking.¹⁶ He highlights the two common views about payment of compensation i.e. indemnity principle and takers gain principle he try to determine the content of the market value approach to compensation beside he reviewed the three approaches to valuation of property in case of expropriation comparable state approach and replacement cost approach. ¹⁷With regard to the law and practical gap existed during expropriation Daniel found that the laws lacks clarity in many respects he continued and asserts that what is clearly envisaged so far is that it is the woreda and urban administrations that are empowered with expropriation right, and the fact that notice shall be given after the completion of valuation. It does not tell whether public discussion should be conducted during the planning stage, although in it practices it being done. Yet, since it is not put in law as a mandatory procedure, there is no way to assert whether people should always be consulted.¹⁸

Another gap in the law is that it does not clearly fix the cut-off date. The other discrepancy identified by Daniel study was that although the law requires the presence of owners during the inventory of assets for valuation purpose, there were cases where inventories were taken in their

¹⁶ Daniel Weldegebriel, thesis on land rights and expropriation in Ethiopia(2013, KTH, Stockholm),P. 278-279

¹⁷ Ibid.

¹⁸ Id., p.278-280

absence. He also adds that resettlement and rehabilitation program as a mandatory procedure is not boldly and sufficiently put in the expropriation laws. For this reason, to day one cannot be sure about the obligation of the state in providing rehabilitation support to displaced farmers.¹⁹ Furthermore the Ethiopian expropriation proclamation defines public purpose in its widest meaning. There is no visible limit to the states power of expropriating private property; to exacerbate the situation the role of courts in these matters is ambiguous, if not interpreted as none.²⁰ The expropriation proclamation does not in clear terms provide the courts power to review an administrative decision concerning the public purpose decision.²¹ Daniel further argued that the valuation technique in practice not bother to narrow the difference between the market value and the expropriation value of the property. Apart from this the nature of the compensation given for loss of rural land is not clear, when we come to the computation of the value of urban land the location of land is not taken in to account for compensation purpose.

Generally the practice of compensation payment suffers mainly from the following problems. The first one has to do with the reluctance or refusal to compensate.²² In most cases, payment of compensation are protracted and delayed.²³ The Ethiopian valuation system also suffers from the lack of qualified experts and consultants.²⁴

Regarding the controversy surrounding the amount of compensation and its adequacy, also stated by Girma Kassa it can be conclude that, the principle enshrined in the constitution that provides for payment of commensurate amount of compensation in case of expropriation is not sufficiently up held by subsidiary land legislations in other words, the pertinent federal as well as regional land laws do not indicate the amount of compensation to be commensurate to the right lost. And Girma concludes that the amount of compensation payable under the existing law is very insignificant and due to law standard of computation, the displaced farmers and citizens have been facing serious difficulty to restore their life in successful manner.²⁵ Moreover the

¹⁹ Ibid.

²⁰ Id.,p.281

²¹ Ibid.

²² Ibid.

²³ Ibid.

²⁴ Id., p. 284

²⁵ Girma kassa, Thesis on Expropriation: The law and the practice,(2011, unpublished, Addis Ababa University)

competent authority lack of commitments to rehabilitate the displaced inexperienced and poor effectively.²⁶

Accordingly, the amount of compensation being paid in SNNP region is found to be inadequate. The SNNP regional government has not enacted its land expropriation and compensation regulation. Lack of standardized valuation and compensation method and procedures are causing different valuations by different land taking agencies. The calculation basis is provided to be five years back and why only ten years while the farmers and pastoralists have life time use rights over their landholding. The calculation formula provided in the law is baseless as it does not have either scientific or practical justifications. Hence, this formula is criticized for not being a basis for fair, just or adequate amount of compensation to successfully reinstate the displaced peasants and/or pastoralists.

Therefore, this research going to be unique in that it is filling the gap in the previous researches due to their inability to reflect the current reality and their weak focus to the issue examining the law applicable to compensation for rural land specially those researches focus on the compensation but this research include in addition to compensation about procedural compatibility and about public purpose, more importantly this research is different from its predecessors due to its specificity.

²⁶ Ibid.

Chapter two

2. General background of expropriation

Expropriation is the right or power of sovereign state to appropriate private property for particular use for purpose of promoting the general welfare²⁷. Sovereign state has the right to take private property for particular use the demand to promote the interest of general public²⁸. Particular uses demonstrate that the type of use that entails expropriation would be enumerate by law more over such use have to promote the interest of the general welfare. Expropriation have no single definition in different legal system give different meaning and most of them are recognize state have right to expropriate private property for the will established practice to further more important development goal of general public.²⁹

Expropriation requires finding the balance between public need for land, provision of land tenure security and protection of private property rights. It is also means to acquisition by sovereign through fulfillment of two conditions for public purpose and upon compensation for property³⁰. In different legal system there are mainly legal terminology that have the same meaning USA it is known by the name eminent domain, in UK and continental Europe it is termed as compulsory purchase and expropriation respectively Ethiopia being follower of continental legal system use the term of expropriation³¹.

Expropriation in Ethiopia was not as such a matter of great concern because predominantly the people are engaged in small scale agricultural activities and urbanization was totally unknown so the leader of the then time was not as such motivated to take land due to lack of great expansion of urbanization, mega projects, high level infrastructures and other large scale farms. We can see about the three regimes of the government that administered Ethiopia, In feudal regime land was control bay elite and also absolute control over the people and their object so the sovereign could take land that belong to any person at their pleasure but it is not as such because mainly there was no significant economic development in the country.

²⁷ Henry C. Black, Black's Law Dictionary , 5th eds. (1968)

²⁸ *ibid*

²⁹ Raja Muhammed Muzaffar, Compulsory Acquisition of Land, (1967), p.40

³⁰ Daniel., cited above at note 16, pp.107

³¹ *ibid*

In emperor Hail Selassie regime for the first time written constitution was adopted in 1931 incorporate a legal framework for the protection of private property concerning property there was one provision i.e. article 27 which empower the sovereign to take land in case of public necessary but it does not include compensation. But the 1960 constitution gives clue about what constitute public purpose and also about compensation³².

IN military regime expropriation was not as such in practice because the regime nationalizes all rural and urban land and abolishes private ownership the need to use expropriation under exception case. Public interest was defeated by the very nationalization act of military government so there was no any compensation because by its nature nationalization didn't include compensation. In military government as stated above rural land were nationalized and private ownership of rural land was totally abolished to realized the production and abolish exploitation not the mass by the few.³³

Current governments introduce land ownership in general and expropriation in particular. In 1995 constitution recognize private property³⁴.When the expropriations conducted it need commensurate amount of compensation. The current situation rural and urban land including natural resources exclusively vested on the state and on the people of Ethiopia. Article40 (4)& (5)deal about access to land right of peasant to claim compensation in the condition where there is expropriation. In the federal as well as regional level, regions have their own rural land administration and use proclamations. `Expropriation is Legitimate tool to implement over all land management scheme which prioritized efficiency and usefulness of land over stagnancy this expropriation also “most potent weapon” it is power to take away and redistribute wealth as the one truly explosive legal time bomb in all antebellum law``³⁵.Therefore, nowadays, the expropriation of private property including land possessory right is a well-established practice to further more important development goals of the general public.

³² ibid

³³ ibid

³⁴FDRE constitution,1995, cited above at note 3, article 40(1)

³⁵ Johan fausthenrikhandeland: Analysis of the Ethiopia expropriation process in rural area in Amhara region.

2.1 The rationales for expropriation

In compulsory acquisition, both the taking of land and attached properties and the use of expropriation in its implementation must be convincing and rational.³⁶ Although the purposes of expropriation are numerous, the general objective must yield benefits to the society and not specific individuals. In the literatures several reasons can be adduced for the taking or compulsory acquisition of land and attached properties by the government.³⁷ The usual objectives in countries, where compulsory acquisitions had taken place include the following: redistribution of land in an equitable manner; political and price stabilization through land control; social justice; physical planning; redistribution of income, wealth and opportunities; and recapture of social-created gains for the benefit of the community etc.³⁸

2.2 EXPROPRIATION PROCEDURE

2.2.1. Making Inquiries

Once the application for land and the accompanying “business plan” and “land plan” are made to the relevant authority, the latter must at least make the following inquiries:

2.2.2 Ensuring Eligibility

Ensuring that the applicant who requests the expropriation is a legally permitted person or organ is the first thing to be made. This is to say that it must be certain that the applicant is one of the eligible organs mentioned under Article 3(1). For example, an expropriation request for personal use, such as building one's house on the land, may not be accepted, for individuals other than investors are not mentioned in the law.

2.2.3. Approving Public Purpose

The woreda or urban administration or another higher body that decides about expropriation must approve the public purpose aspect of the project. The proclamation may not help much in this respect since it is general, as we shall see in the next chapter. But, regions came up with lists of projects considered as public purpose activities. Besides, the land requested should not be

³⁶ Belachew Yirsaw, thesis in real estate planning, expropriation, valuation and compensation in Ethiopia, (2013, unpublished, Stockholm, Sweden), p.15

³⁷ Ibid.

³⁸ Ibid.

related to protected or forbidden areas, such as natural, cultural and historical reserved areas, national parks, and natural forests.

2.2.4 Public Discussion

Whenever the administration decides on expropriation, the woreda or municipality calls a public meeting to explain the purpose. Public discussion should not be understood as a “notice” for the people to explain the purpose. Public discussion should not be understood as a “notice” for the latter will be another stage³⁹. Public discussion is a procedure actually practiced by all regions and cities, although. Public discussion is also a proposed and actually practiced procedure in many countries. Public discussion provides an opportunity for people to learn more about the project, to receive answers to their questions about the process and the procedures and to voice their concerns. Open public discussion enables the government to appreciate the concern of the people and to create smooth environment for the project’s undertaking. If the public is not clear about its benefit and the compensation packages before the commencement of the project, conflict may arise. Taking this into consideration, the Ethiopian government gives more focus to this stage as compared to others.

2.2.5. Inventory of Assets

A critical stage in an expropriation process in Ethiopia is one that involves the inventory and counting of assets. This has to do with the identification and designation of the land to be expropriated and the counting of assets thereon. Identification of land means locating the land on a map and certifying the owner thereof; whereas designation of the land means measuring and determining the land area necessary for the project. Besides identifying and designating the land, the assets on the land such as, buildings, plants and other fixtures must also be counted for assessment purpose. The law requires the woreda or municipality to setup a “valuation committee”⁴⁰ to carry out the valuation activity, and in principle, it is this committee that is supposed to go to the area and measure and count the assets

³⁹ FAO guideline on compulsory purchase puts public as important stage in expropriation process

⁴⁰Expropriation proclamation, 2005, cited above at note 9, Art. 10

2.2.6. Notification

Notice, as stated above, is one of the procedural requirements explicitly dictated in the proclamation.⁴¹ Notice has to be made in “writing, indicating the time when the land has to be vacated and the amount of compensation to be paid.” Thus, in theory, notice must contain every information about the amount of land to be taken (all or part), the time frame within which the holder is expected to move, and most importantly, the amount of compensation the implementing agency is ready to pay. This means, notice is something that comes after the valuation of the property and that is why we said that it is not the same thing as public discussion⁴². According to Article 4 of the expropriation proclamation, the period of notification, the time between the service of notice and clearance of land, should be determined by each region, provided that it is not less than 90 days if the land is a rural land.⁴³

2.2.7. Resettlement Program

A workable definition about the meaning of resettlement and rehabilitation program is necessary before continuing the discussion. “Resettlement” means to settle or cause to settle displaced people in a new or different place, while “Rehabilitation” is restoring the community to its former state, way of life, capacity, or income level. Resettlement program, in our context, is understood as a support provided to people who are physically displaced from their land as a result of expropriation decision

2.3 Advantage and disadvantage of expropriation

An expropriation act has both positive and negative side; while someone is benefiting, another may be adversely affected. Although it is possible in principle and legally permissible to expropriate, the public benefit thought to be gained may be insignificant compared to the inconveniences caused as a result of the action. In some countries, it is stated in their law that expropriation shall not be used if the inconvenience for private individuals outweighs the public advantage. Similarly; the Federation of International Surveyors’ (FIG) guideline on compulsory purchase dictates that compulsory purchase should not be opted if other routes of land acquisition methods can be pursued.

⁴¹ Id., Art 4(1)

⁴² Ibid.

⁴³ Id., Art. 4(2)

2.4 Public purpose

The concept of “public purpose” is the most contentious issue in the parlance of expropriation power of the government. There is no agreement even on the definition of the term and its equivalent “public interest” among different scholars as its meaning varies overtime and according to the taking involved. In the contemporary world; the concept tends to encompass various complex socio-economic activities. In other words, the ambit of public purpose is highly influenced by the development of economic, social and political aspects of particular society. Despite its being a fluid legal concept, the term “public purpose” has been tried to be defined by different literatures differently. Public purpose give different name in different country like USA is known as public use, in Europe known as public interest and in Ethiopia is called public purpose there are many argument to determine degree of public good will meet the requirement of public purpose for the exercise of the power of eminent domain.⁴⁴ The public purpose also use to balance the two interest⁴⁵, the state is not provided with absolute expropriation power to take private property even upon payment of fair compensation it take only if the serve for large” public purpose it is public benefit or public advantage and may embrace anything tending to enlarge the product of capacity or resource of community and to promote the general welfare and prosperity” the other scholar stated that “whether the legislature confer power on anybody to take land compulsory for particular purpose it on the ground that the using of that land for the purpose will be for public good”.

Public purpose is government action or direction the purpose to benefit the populous as whole during expropriation of private land right. There are two contradiction interest public needs for land and the state interests. There for only authorize the government to expropriate land right clear and limiting. The requirement of Payment as compensation and public purpose use to restrict the action of government toward the private property.

In Ethiopia allowed expropriation⁴⁶ of private property provide that the taking would be for public purpose this provision put restriction on the use and enjoyment as well as disposition of private property on an account of public interest.

⁴⁴ Daniel, cited above at note 16, pp.189.

⁴⁵ Ibid.

⁴⁶ FDRE constitution, 1995, Cited above at note 3, Art 40(8)

In order to achieve goal of land expropriation for public interest public participation is necessary to ensure that compensation as well as the procedure conformity with the law and also the expropriation for public interest but this may not relay on most developing country according to many report like (FAO report) in developing country rural people often far from away many important decision making process these people should be informed with appropriate information and include in decision making process when there is possibility of impact in their life.

Public participation in simple process of taking part in different sphere of societal life: Political, economic, social, cultural, and other there for public participation is necessary to ensure that the compensation in just and the purpose of land expropriation are for public interest.

Generally public interest has priority over that of particular individual and individual hand over his right to the benefit of public i.e. the purpose of the expropriation depend on public interest.

2.5 Compensation for expropriation

Compensation means full indemnity or remuneration for the loss or damage sustain by the owner of the property taken or injured for the public use this compensation also important to reimburses the expropriation for the property interest taken and place the later in good pecuniary position as if the property had not taken it also very important to balance the social justice.⁴⁷ Compensation whether in financial form or as replacement land or structure is at the heart of expropriation.⁴⁸ To meet the need of public service and other economic and social needs of the society, the government use expropriation (compulsory acquisition) as an alternative tool to secure land for development, the process, however brings tension for people who are threatened with dispossession.⁴⁹ In countries like Ethiopia where the level of economic and social development is extremely low, the government for redevelopment purpose and undertaking public facilities, displaced people both in inner cities and peripheral urban and rural areas, as direct result of these government actions, peoples especially the poor ones are displaced from their homes, farmers are dislocated from their fields, and business are disconnected from their neighborhoods.⁵⁰ The property owner, therefore, shall be compensated for the losses he/she suffers due to expropriation.

⁴⁷Daniel, cited above at note 16, p.222

⁴⁸Belachew, cited above at note 36, p.18

⁴⁹ Ibid.

⁵⁰ Ibid.

In other words the affected property owner shall be in the same economic position as if the compulsory acquisition had never happened.⁵¹ Compensation is to repay the affected people for the losses they suffered, and should be based on principles of equity and equivalence.⁵² In the compensation issue the different country use different terms like adequate, fair compensation, indemnification but in our constitution article 40 uses the term commensurate. There are different types of compensation theory's those are indemnity principle, takers gain principle and market value and just or fair compensation principle. There are also different kind of valuation mode like comparable sale approach, income capitalization approach and replacement approach.

Based on constitutional requirement many countries have developed standard for determining "just compensation" national state should make payment in currency that can be readily used that should reflect the full value of expropriated property. The government also serves as a protection against arbitrary and unauthorized action of the legislature or the executive branches of the government and also the government to bear the inconvenience resulting from expropriation. With relation to compensation valuation also one issue during expropriation, valuation means it is the process of determine the current worth asset mostly real property. This process means to reach a just compensation.

Generally as stated above during expropriation compensation is the basic requirement to legalize the act of state.

2.6 Why do expropriators pay compensation and expropriates are compensated?

Why do expropriators pay compensation?

The constitution of many countries states that compensation is paid to strike a just and equitable balance between the interests of those affected and the public. The justifiable reason why compensation is paid are;⁵³

- Compensation is paid to prevent government from arbitrary action
- Compensation is paid to distribute the burden of the government interference
- Compensation is paid to spread the cost of expropriation.

⁵¹ Ibid.

⁵² Ibid.

⁵³ Id.,p.19

- Compensation is paid to make the expropriated indifferent to the taking

Why expropriates are compensated

The property taken, severance and injurious affection and other inconvenience of property owner/holder due to government interference are used to explain why expropriates are compensated.

- Expropriates are compensated for the property taken
- Expropriates are compensated for the reduction in the value of the property.

2.7 Theories on payment during expropriation

There are two main theories that deal about how payment gives during expropriation and also once it is accepted that compensation should be paid in the proceeding of expropriation, and then it is accepted that compensation should be paid in the proceeding of expropriation, and then it is common to ask how to compensate the owner. The manners of determining compensation may be debatable in this respect, there are two conflicting theories: principle of indemnity (“Owner” Loss”) theory and the “Takers” Gain” theory, which will be discussed below.

2.7.1 Indemnity theory

This theory state that the owner whose property is expropriated should be entitled to be put as good a pecuniary position as he would have been if his property had not been taken mostly followed in majority of western country. Under indemnity theory which also called “owners loss theory” in FRANCE and USA compensation does not reflect what the taker has gained but rather what the owner has lost the main propose compensation as per this theory is reinstate the owner of expropriated property in the same economic position at the time when the property was taken accordingly this theory suggest that any claim for compensation due to the value of expropriated property should not be allowed the owner/possessor is to be compensate for the increased value which was not happen during expropriation. In England also in addition to fully compensation of the land acquire the expropriated organ is also obliged to pay compensation for disturbance of interest and compensation for severance and injurious affection this severance payment give for the depreciation of the value of the reaming land to put the owner of expropriated property in the same economic position the expropriate organ get much or little benefit from the taking does not matter.

2.7.2 Takers' gain theory

This theory is different from indemnity theory it state that the government should pay for what it gets the 'consequential damage' like future loss of profit, expense moving fixture and personal property the loss of good will that inherent in location must be denied because it is not benefited for the government this theory only focused on what it get apparently the market value of the land.

Those two theories debate clearly focus on how should pay the compensation or the way of payment during expropriation when we see those theories according to our law the compensation principle in Ethiopia is not clear. But one thing to say is that it does not fit to the indemnity principle which gives an equal or equivalent amount of compensation to the loss sustained by the owner of the expropriated property⁵⁴.

The Ethiopian Civil Code Section on expropriation has provided something that looks like an indemnity principle. Article 1474 (1) of the Code says that the amount of compensation or the value of the land that may be given to replace the expropriated land shall be "equal to the amount of the actual damage caused by expropriation." Yet this does not cover the potential damages, such as future highest and best use of land values. The Civil Code interests only on actual and real damages caused when the land was expropriated.

The current FDRE Constitution under sub-article 8 of Article 40 provides for advance payment of "commensurate" amount of compensation to the loss of private properties. But the constitution does not recognize land as a private property. What is considered as private property in the constitution is any other property planted or erected on the land by the skill, labor or capital of the person (sub-article 1). Therefore, the objects of compensation under the present legal regime are buildings, plants and other similar things, save the ground or land itself. This means the compensation valuation does not consider, among others, the value of location, and this

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Daniel and Girma, cited above at note 16 & 26

significantly reduces the amount of compensation payable to the owner. Rather in my opinion the principle followed in today's Ethiopia is the "taker's gain" principle which stresses that the compensation paid must consider the original or undeveloped purpose of use of the land rather than its futuristic potential⁵⁵.

2.8 Notions of "Market Value" and "Just" or "Fair" Compensation

The two theories and about their corporation in Ethiopia law we can see in the above sections and those theory's state that how should pay the compensation and now we discuss about the amount of compensation. Most laws (constitutions or other minor legislations) which allow expropriation of private property usually attach the requirement of the payment of compensation. Depending on the legislation of each country, it may be termed as compensation, fair compensation, just compensation, reasonable compensation, adequate compensation or any other, like 'commensurate compensation' in Ethiopia. The fundamental principle that guides valuations under expropriation laws in all Western countries and most developing countries is the payment of "fair market price" (or market value). "Just compensation" is the market value of the property taken. In America, compensation as a principle paid in money while Market value is generally taken as a test for the existence of just compensation. Market value is defined as: "the most probable price, as of a specified date, in cash, or in terms equivalent to cash, or in other precisely revealed terms, for which the specified property rights should sell after reasonable exposure in a competitive market under all conditions requisite to a fair sale, with the buyer and seller each acting prudently, knowledgeably, and for self- interest, and assuming that neither is under undue duress."⁵⁶ In this issue when we see American experience this market value have two implication Firstly, in what is termed as the "willing buyer-willing seller" test, the market value of land is the amount that the property would be reasonably worth on the market in a cash sale to a willing buyer if offered for sale by a prudent and willing seller and as such the buyer would not pay more than the value of his expectation from the use of the land. Secondly, according to "the highest and best use" rule, the price offered must be what a reasonable buyer would pay for the highest and best use of the land. When we see this according to Ethiopia the phrase "commensurate compensation" is employed instead of "just compensation". The common

⁵⁵Method and adequacy of compensation, FIG regional conference special data serving people: land governing and the environmental treatment

⁵⁶Girma, Cited above at note 26

dictionary meaning of this word “commensurate” is “equal”, “proportionate”, “appropriate” or “adequate”, which nearly means “just”. On the other hand, it is argued that the absence or presence of words like “just”, “fair” or “commensurate” cannot cause any substantive change on the concept of compensation.⁵⁷ this kind of amount is more preferable because it believe that it cover the damage sustained by the owner .on the other issue about the word change like “just” & “fair” can not cause any difference some argue that the idea of itself implies full and recompense the word added in order to emphasis the equality rather have no any different.

2.9 Valuation method

Basically property valuation all over the world follows the same method. In some jurisdiction those rules are written in formal law and codes.⁵⁸ There are three internationally recognized methods of property valuation and they are all based on the principle of market comparison. They are:

- Sale comparison approach
- Income capitalization approach
- Cost approach

2.9.1 Sale comparison approach

The market value is defined as the most probable prize for a sale done at the free market. ⁵⁹The idea is that the market value is the prize most sellers and buyers would agree upon if the transaction were done with consent on a free and open market at a certain point of time. ⁶⁰ Since the expropriation is not done with consent in free market, we will never know the actual market value of a specific object. Therefore it is common to use data from other objects with similar features that are sold on the free market in the same area as the expropriated property. This will give guidance in how much the expropriated property would be worth on the free market, under circumstance that enough data is available to the calculation. ⁶¹ The method requires significant amount of comparable transaction in the same proximity in order to work properly.

⁵⁷ Ibid.

⁵⁸ Belachew, cited above at note 36, p.54

⁵⁹ Martin Persson, thesis on compensation practices in the Ethiopian expropriation process, a case study from Amhara regional state, (2015, Lund University, department of real state science, Sweden) p.22

⁶⁰ Ibid.

⁶¹ Ibid.

In this method of valuation the value of the real property is determined by comparing the property recently sold in the “market” to the land being appraised.⁶² Comparable sales approach is the most common method of land valuation which relies on market information to value the property, The underlying concept is that a recent sale from a willing seller to a willing buyer of a property (the comparable property) can best reflect the value of a similar land (the subject property) in the vicinity.⁶³ This method models the behavior of the market by comparing the subject property under valuation with similar property or properties that have recently been sold, or for which offers to purchase have been made generally this reflect equilibrium of supply and demand of property in a given market.⁶⁴

2.9.2.1 Income capitalization approach

The second approach state that it is called capitalization of income mostly applied in agricultural land and investment property appraiser analyze the property capacity to generate future benefit and present or estimated future benefit from present value.⁶⁵ The idea behind this method is that an investor would not pay more for the property that what will be gained during the holding period.⁶⁶The income approach to value consists of methods, techniques and mathematical procedures that assessor uses to analyze a property’s capacity to generate benefit and convert these benefits in to an indication of present value.⁶⁷

2.9.3 Cost approach

The third approach in this approach, the value of a property is derived by adding the estimated value of the land to the current cost of constructing a reproduction or replacement for the improvement and then subtracting the amount of depreciation.⁶⁸ In other words, this approach is based on the assumption that cost equals value. The reliability of the cost method depends on the validity of the assumption that cost and value are equal.⁶⁹ Using cost approach, appraisals require information on cost of land, cost of building (improvement), and cost of depreciation.

⁶²Daniel cited above at note 16, p.219

⁶³ Ibid.

⁶⁴ Ibid.

⁶⁵ Ibid.

⁶⁶Martin cited above at note 59, p.22

⁶⁷Belachew, cited above at note 36, p.57

⁶⁸Appraisal-institute 2001. The appraisal of real estate, Chicago, Appraisal institute,p.63

⁶⁹Daniel cited above at note 16, p.220

The cost method valuation is based on the cost of building less depreciation plus the site value.⁷⁰ The approach recognizes the value of the site for a particular use. , estimation of costs is often based on two different bases- “replacement cost” or “reproduction cost.” “Replacement cost” refers to the estimated cost to construct, at current prices as of the effective appraisal date, a substitute for the building being appraised using modern materials and current standards, design, and layout. “Reproduction cost”, on the other hand, refers to the estimated cost to construct, at current prices as of the effective date of the appraisal, an exact duplicate or replica of the building being appraised, using the same materials, construction standards, design, layout, and quality of workmanship and embodying all the deficiencies, super adequacies, and obsolescence of the subject building.⁷¹ The valuation process, whereby compensation is fixed according to law, is generally the most difficult, time consuming, and litigated part of the expropriation process. A proper valuation process is the most important step for the land owner as that is the means to reach a just compensation. Valuation method followed in Ethiopia for the purpose of estimating the amount of compensation is the “cost approach is inferred from the reading of Articles 7(2) of the Expropriation Proclamation⁷² which states: The amount of compensation for property situated on the expropriated land shall be determined on the basis of replacement cost of the property.

2.10 Brief overview of foreign expropriation practice with ETHIOPIA

There are different country have various kind of expropriation process. the allocation of expropriation power in to two :horizontal allocation and vertical allocation, in horizontal allocation the expropriation authority may be given to be legislator, executive or judiciary, while in the vertical one it may be allocated to federal or state government or theirdepartment and other quasi government organ ,such as ,utility and power companies while the right or power of eminent domain is inherent in the state, it is also dormant until the legislature rouses it into activity by taking steps for the exercise of the power.⁷³ In most country the legislature sets out expropriation legislation that determine the public purpose for which land may be expropriated. To properly evaluate the concept, mode and trend of expropriation, it is better to see in bird eye

⁷⁰ Ibid.

⁷¹Id., p.221

⁷²Expropriation proclamation, 2005, cited above at note 9, art7(3)

⁷³Daniel, cited above at note 16, p. 167

view the implication of expropriation in an international context from the law and practice of selected countries.

- **United states of America**

In United States of America there has been an ongoing debate whether or not expropriation could or should be used as a means for economic development.⁷⁴ The main question here is if the public use or public purpose is justified only for the reason of gaining economic development to the area.⁷⁵ When we come to the body that has empowered to decide on expropriation issue the legislative has an inherent power to enact laws which serve as a framework to conduct expropriation and determine public purpose thereof. In USA On the other hand the executive branch designates the property to be expropriated and appoint an expert to evaluate the property. Then the judiciary proceeding resolve any dispute over the public purpose amount of compensation.⁷⁶ In USA what constitutes a public use, although determine by legislation and approved by courts.⁷⁷ We can conclude that expropriation process in USA include all government body.

- **Latin America**

A common thread in Latin America in relation to expropriation is the democratization process that has been ongoing for the last decades.⁷⁸ The process has affected the whole judicial system in many Latin American countries, and thus the regulations regarding expropriation. An interesting observation made in Latin America is the fact that the compensation for expropriated land has been extremely high, this is due to that judges deemed the compensation this way.⁷⁹ This led to a situation where the expropriators, usually the municipality, came in severe debt just for the cause of attaining land for urban development. It also created a market where investors could hold on to strategic located land since they know that they would be very well compensated during the expropriation process.⁸⁰

⁷⁴ Martin Persson, cited above at note 59, p.23

⁷⁵ Ibid.

⁷⁶ Daniel, cited above at note 16, p.168

⁷⁷ Ibid.

⁷⁸ Martin Persson , cited above at note 59, p.23

⁷⁹ Ibid.

⁸⁰ Ibid.

- **Sweden**

In Sweden, as most countries in northern Europe expropriation is mainly used for purposes aiming to provide infrastructure and other services of large public interest.⁸¹ Expropriation is strictly regulated in law, “expropriationslagen”(ExprL). This law set boundaries for expropriation and provides guidelines on how the compensation should be calculated. Of importance to highlight in relation to the compensation is the fact that Sweden has applied a regulation that expropriated property should be compensated by the market value, plus an addition of 25%. The additional 25% is due to the change in law done in 2010 that aimed to strengthen the position of the property owners.⁸²

When we see in Ethiopia expropriation procedure is totally administrative in nature like **Singapore** also follows purely administrative in nature.⁸³ In other country like Nicaragua both the designation of property for project and valuation are responsibilities of judiciary but most country involve both administration and court.⁸⁴ As above expressed in **Ethiopia** like in any other country the role of the legislature is to enact expropriation legislation that determine the power and roles of different actors. To this effect, the legislature enacted the current expropriation proclamation in 2005. A woreda and urban administration both the administrative organ that is responsible for the administration of rural and urban land respectively they are also empower to expropriate. For initiate expropriation is "implementing agency" according to article 2(7) proclamation this implementing agency is government agency or public enterprise. We can conclude that Ethiopia expropriation process depend on administrative organ.

Chapter Three

3. Issue of expropriation in Arba Minch town: The law and practice

The above two chapters try's to elucidate the general frame work of the research, why the research is necessitated, what it is going to solve and how the research is going to be conducted.

⁸¹Ibid.

⁸² Id.,p.23&24

⁸³Daniel, cited above at note 16, p.168

⁸⁴ Ibid.

More over in chapter two it is tried to shed light on concept of expropriation and its necessity in general and other related issues like public purpose, compensation are also discussed in detail. This chapter examines the law and the practice, in particular the practice of expropriation i.e. the assessment and adequacy of compensation, the procedures during expropriation, and also what is public purpose consists of in Arba Minch town is examined in light of the law(mainly with expropriation proclamation no. 455/2005, and other relevant laws in the area).

As we know Ethiopia adopts a legislation which governs expropriation of land for public purpose and from those legislation “expropriation of land for public purpose and payment of compensation”⁸⁵and “council of ministers regulation on payment of compensation”⁸⁶ are among such laws. The FDRE constitution gives the power to states to administer land and other naturalresources in accordance with federal laws.⁸⁷ In line to this mandate given by the constitution the SNNP regional state has enacted SNNP rural land use and administration proclamation, a regulation to implement the urban land lease proclamation. Even though the constitution itself give such power still now the SNNP region didn’t adopt law of expropriation of land for public purpose and payment of compensation proclamation, as a result of this the region use the federal expropriation of land for public purpose proclamation no. 455/2005. There is justification given by Girma kassa for the lack of expropriation proclamation on the side of the regional states⁸⁸ :the first justification is it is believed that since the power to enact law for utilization and conservation of land is vested in the federal government it create uniformity regarding payment and no federal land to administer by federal government. We can see this from proclamation this proclamation apply to any rural land in Ethiopia.⁸⁹ The second justification is those law that are enact by the federal government are sufficient in addressing problem relating to the land expropriation and assessment of compensation thereof. Nevertheless the law presupposes that land taking by regional government agencies will be governed by regional regulations⁹⁰

⁸⁵ Expropriation proclamation,2005, cited above at note 9.

⁸⁶ Payment of Compensation for property situated on land holding expropriated for public purposes Regulation, 2007, pro. No. 135, Fed. Neg. Gaz.,Year 13, no. 11

⁸⁷ FDRE constitution, 1995, cited above at note 3, Art.52(2)(d)

⁸⁸Girma Kassa cited above at note 26.

⁸⁹ Rural land administration and use Proclamation, 2005, Proclamation No.456, Fed.Neg.Gaz., Year 11, No.44, Art. 4

⁹⁰ Expropriation Proclamation, 2005, cited above at note 9, Art. 14(2)

3.1 Expropriation procedure

Whenever the administration decides on expropriation, the woreda or municipality calls a public meeting to explain the purpose. Public discussion should not be understood as a “notice” for the latter will be another stage⁹¹. IN fact the expropriation proclamation does not clearly put public discussion as one procedure that should be observed during expropriation however Public discussion is a procedure actually practiced by all regions and cities. Public discussion is also a proposed and actually practiced procedure in many countries. Public discussion provides an opportunity for people to learn more about the project, to receive answers to their questions about the process and the procedures and to voice their concerns. Open public discussion enables the government to appreciate the concern of the people and to create smooth environment for the project’s undertaking. If the public is not clear about its benefit and the compensation packages before the commencement of the project, conflict may arise. When we come to the practice in Arba Minch town even though one of the municipality officials on land development and management sector argue that there is strong and successive discussion with the people,⁹² the questionnaires’ disseminated to the expropriated people shows the opposite. Accordingly the dwellers are not satisfied by the procedure even they didn’t know for what purpose their land is taken this indicate that there is no discussion with the public. From the questionnaire that the researcher administered to the expropriated people, it is analyzed that there is no sufficient public discussion with the dwellers and in some expropriation cases there is no public discussion at all rather the municipality order them to evacuate the land and it provide another area which is far from the town without any facility. Accordingly the government doesn’t give them appropriate concern on consultation and still now they doesn’t have exact information for what purpose there land is expropriated but as a rumor they hear that it is destined to building of hotel. Therefore it can be concluded that the practice with regard to public discussion in Arba Minch town during expropriation is not as such satisfactory and the expropriating body mainly focus on notification after it decide to expropriate.

The first step that the expropriation proclamation clearly regulates under article 4 of 455/2005 is notification. When the woreda or urban administration decides on the expropriation there should

⁹¹ FAO guideline on compulsory purchase puts public as important stage in expropriation process

⁹² Interview with Asefa Moges, Arba Minch town municipality land development and management sector leader, November 25/2011

be notification in writing and indicate when they evacuate the land. The landholder who receives notification of expropriation must give the land to the woreda or urban administration within 90 days from the date of payment of compensation, but if the holder refuses to receive the payment the payment is deposited in block bank account.⁹³If there is no any property on the land the day will be reduced to 30 day ⁹⁴when the holder didn't hand over the land in peaceful way the authority can use police force.⁹⁵From the questionnaires' disseminated to the expropriated people conducted by the researcher this procedure stated under the law and practical activity in Arba Minch town in seacha and abaya sub city there is a clear gap. Even though the law clearly put an obligation on the expropriating body to notify the land holder, in writing the time when the land has to be vacated and the amount of compensation to be paid, from the questionnaire it is revealed that notification in case of expropriation is posted in notice boards rather than giving notice personally to the holder. This act of the expropriating body is not in tandem with the law because the law requires the notice should be served to the holders personally and nowhere in the expropriation proclamation exposing notice in the notice board is allowed as a way of notifying the land holder. Therefore the act of the municipality to give notice personally to the holder in certain occasion and posting the same in notice board in another occasion without serving it to the holders is an arbitrary act and it is not in line with the spirit of the law.

Generally as expressed above the law and practice have gap on the implementation the law expressly states about notification and also the date when should hand over the land but in this sub cities didn't apply still.

3.2 public purposes

The other main element in the expropriation is “public purpose” when we see the applicability of this right the constitution also expressly proved that there should be public purpose to conduct

⁹³Expropriation proclamation, 2005, cited above at note 9, Art. 4(3)

⁹⁴ Id., Art. 4(4)

⁹⁵ Id., Art.4(5)

expropriation. We can see also about the power of expropriation organ which is authorized to determine public purpose under article 3 of Proc. no.455/2005

“woreda or an urban administration shall upon payment in advance of compensation in accordance with this proclamation have power to expropriate rural or urban land holding for public purpose where i believe that is should be used for better development project to be carried out by public entities private investor or cooperative societies or other organ or where such expropriation has been decide by the appropriate higher regional or federal government organ for the same purpose”⁹⁶

Based on this article Arba Minch town municipal is authorized to expropriate for public purpose when it believe it constitute public purpose. According to the interview with the judge from Gamo area high court there is an abuse of right under the guise of public purpose by the expropriating body.⁹⁷ More over according to the judge the abuse is arise from the fact that, the body which has the mandate to decide whether there is public purpose or not at the same time is the body which is conferred with the power to expropriate the land. Therefore as far as the two powers are on the hand of the same body there is a great chance for abuse of right. This very article causes practically disorganized situation because the article give unlimited and vague authority for “appropriate” higher body and also “better development” there is no clear standard or meaning as to what truly constitute a better development project it make disparity from one place to other because a better development project in one area may be not create better development in other area. In Arba Minch town especially seacha sub city the land taken from the land holders is given to private individual for investment to build hotel. However in most case the expropriated land has not been utilized for the intended project in the manner and time agreed. Up to the time the researcher conducted the observation the building of the said hotel is not started and the land is empty by fencing it.⁹⁸some expropriates and others state that there is great corruption related to land in the name of public purpose as the dwellers state the investor take the land not to invest but to sale with higher price this in turn is the violation of the very purpose of expropriation. Because from the beginning expropriation is conducted for the sake of public purpose and when the woreda or urban administration believed that the expropriation is

⁹⁶ Expropriation Proclamation, 2005, cited above at note 9, Art. 3

⁹⁷ Interview with Mr. Mekuria, president of Gamo area high court, December 5/2011

⁹⁸ Observation taken date conducted on November 20/2011

necessary for better development. If such public purpose defense is defeated the taking of the land is considered as illegal eviction and the act is not only in contravention with the expropriation proclamation, but it is also against the constitution. Therefore from the observation which is conducted and the questionnaire disseminated it is possible to understand that even though the municipality take the land from the land holders under the guise of public purpose the land which is taken from the peoples doesn't employed for the intended purpose in order to serve the public. More over from the interview mentioned above with the officials the researcher understood that, the officials in the municipality interpret the two phrases i.e. "for public purpose" and "better development" which are stated under article 3(1) of the expropriation proclamation in broad and they consider every investment activity as better development project. Therefore the limitation of the law in defining what is meant by public purpose and better development give the municipality an absolute power to expropriate any land which they think it is necessary for better development even there act is an arbitrary one. Even though it is not as such in alarming rate there is an abuse of right of a land holder by the expropriating body in the study area under the guise of public purpose.

3.3 Valuation, mode and the adequacy of compensation

The other issue that need worth discussion in case of expropriation is compensation. Under chapter two the paper try's to elucidate what is meant by compensation and the need for compensating the victim of expropriation. Therefore now such discussion are not repeat hear and as it is clearly provided compensation is the main element without fulfillment of this element there is no expropriation. Our expropriation proclamation more or less govern the issue of compensation and how it going to be assessed in case of both expropriation of rural and urban land. Generally, it is said that the amount of compensation for property situated on the land should be determined on the basis of replacement cost.⁹⁹ However, for those unique properties which cannot be replaced, such as trees, crops and grass, the valuation regulation provides a onetime market value prices.¹⁰⁰ Compensation for permanent improvement to the land are calculated based on the amount of capital and cost for labor expended. With regard to urban land, article 7(1) provides the expropriated land holder be entitled to compensation for his property

⁹⁹Expropriation proclamation, 2005, cited above a note 9, Art. 7(2)

¹⁰⁰ Payment of compensation regulation, 2007, cited above at note.86, Art. 6,7&8

situated on the land and for permanent improvements he made to such land. Article 7 sub 2 of the same proclamation also provides the amount of compensation for the property situated on the expropriated land shall be determined on the basis of replacement cost of the property specifically if the expropriated land is an urban land it may not in any way, be less than the current cost of constructing a single room low cost house.¹⁰¹ In addition to such compensation the Expropriation proclamation provides displacement compensation for the land holders. The land holder is entitled to a substitute land to be used for construction of a dwelling house.¹⁰² In addition to this the holder is entitled to a displacement compensation equivalent to the estimated to the annual rent of the demolished dwelling house.¹⁰³ These all are the general framework on the assessment of compensation for urban land laid down by the expropriation proclamation and the cumulative reading of the expropriation proclamation and the council of ministers compensation regulation no. 135/2007 reveals that if an urban resident loses a house by way of expropriation, at least s/he shall get the following six types of compensations:

- A. Cost of construction (material + labor),
- B. Compensation for improvements to the land,
- C. Compensation for plants,
- D. Replacement land,
- E. One year's house rent, and
- F. Cost of relocation.

As per the questionnaires' administered to the dwellers there is a gap between the law and the practice. When we come to the payment of compensation in Arba Minch town specially seacha sub city the compensation that are given to land holders didn't sufficient to their life. The dwellers state that the compensation that is given for them didn't enough to replace their life.

The Federal Compensation Regulation (135/2007) under Article 3(1) states that "the compensation for a building shall be determined on the basis of the current cost per square meter or unit for constructing a comparable building." According to the interview conducted with one

¹⁰¹Id., Art. 7(3)

¹⁰² Id., Art.8(4) (a)

¹⁰³ Id., Art. 8(4)(b)

of the engineer worked in the land department with regarding to the valuation of the property there is valuation committee which make an estimation cost for a certain property based on the current market value of each item which are used in the building of a certain house. However the problem in practice in Arba Minch town seacha sub city isthough inflation at the time was in alarming rate andthis makes the amount of compensation calculated unfair because the price of goods is changing from day to day and failure on the side of the urban administration to update the value of the materials makes their significance to the valuation process questionable.

The other problem is related to location of the place. This is associated with the replacement of land is the location aspect. Displaced people are not compensated for the location of the place they were in. This has two consequences: firstly, since location has no value, displaced people do not get market value for their properties; and secondly, they are not compensated for additional cost they incurred as a result of change in location.

As already discussed, the location or land is not considered during the estimation of compensation. The modality of redressing this loss is, though, made through land to land compensation. from the observation that is conducted in the area which the expropriated people settled the researcher observed that the expropriated people are living in un comfortable situation and the substitute land given to them is not in any way comparable with their previous (expropriated) possession, currently they are settled in the area which is far from the town and there is shortage of electric power as well as water supply in the area. However they have both supplies when they had in the expropriated holding. According to the dwellers they are not able to move in such area in night because the area is without light and the area is also full of gorge and ups and downs as a result of this there is robbery and theft. More over as per the language of the expropriated people and from the observation it is analyzed that the municipality give to the expropriated holders a substitute land which is far from the town and which does not have sufficient facility like water, electricity, road which is totally does not compare with their previous possession. The valuation method adopted in the expropriation proclamation (Proclamation No. 455/2005) i.e. replacement cost of the property has a basic flow in implementing the constitutional principle of payment of “commensurate” amount. In urban areas, location has no value and owners are being compensated only the “replacement cost” of buildings; government reaps the location value that was developed and grew at the expense of

the land holder/dweller. Although there seems to be no harm in this type of redress, in reality, it does not make the compensation full. Most of the subjects had been either working in the town center or operating small business in their homes. When they moved to the new homes in the periphery, the people (mostly women) who used to do small home based business lost their income. The new settlement has little demand for their product. Therefore the expropriated peoples in seacha sub city are exposed to economic problem, because since previously they are with in the heart of the seacha sub city around s.t medhaniyalem church and they have direct access to the main road and they had engaged in different small commercial activities like they have a shop, they sell food, coffee houses, they sell vegetable's and other works. However, when they are expropriated from the area, simentinously their economic wellbeing is also affected, because they are unable to continue their works from the area they are given by the municipality due to lack of market access.

The urban administration and woreda have responsibility to pay compensation and also provide them with rehabilitation support to the extent¹⁰⁴. As per the language of article 3 of the expropriation proclamation in principle any decision for expropriation must be followed by payment of advance compensation. This statement clearly show that payment of compensation should precede the handing over the landholding right but in the study area i.e. seacha sub city peoples who are expropriated there land for the building of the referral hospital which is owned by Arba Minch university even their land has been taken before payment of compensation. Up to the time the researcher conduct an interview with the officials compensation for such expropriates is not paid but they are evacuated from the area and the compensation is delayed to two years and the officials raise different reasons for the delay. Therefore the finding reveals that in practice the peoples are forced to evacuate their land before they have received advance compensation for their property. And the municipality arranges the payment of compensation after they are removed from the area and even the compensation is delayed for up to two years and this practice is a clear departure from the law. But the law provide not only give compensation the people who expropriated from their place should get rehabilitation support¹⁰⁵ nevertheless the expropriated peoples in seacha sub city unthinkable to gate support. According to the interview conducted with one of the engineer worked in the land department

¹⁰⁴ Id., Art. 13

¹⁰⁵ Id., Art. 13

with regarding to the valuation of the property there is valuation committee which make an estimation cost for a certain property based on the current market value of each item which are used in the building of a certain house.¹⁰⁶ And this committee is mostly composed of engineers who are worked in the municipality as per the word of the interviewee.¹⁰⁷ The compensation is also intertwined with different bureaucratic procedure..

In general there is failure on the side of the municipality because as we know expropriation is connected with right to property which is provided under article 40(8) of constitution and there should be compensation “commensurate “to the value of property must be due in advance when government expropriation private property. As discussed above the expropriation proclamation also provide how compensation is going to be paid to the urban land holders during expropriation. When we see the adequacy of compensation in Arba Minch town in the two sub cities in light of such laws it show a clear departure. 1st The amount of compensation paid to the expropriated people is insufficient while article 7 of the expropriation proclamation requires the payment of compensation not less than the current cost of constructing a single room low cost house in accordance with the standard set by the concerned region In addition to such compensation the proclamation further orders the payment of displacement cost for the urban dwellers. which is articulated as In addition to the substitute land given for him/her the land holder is entitled to payment of displacement compensation equivalent to the estimated annual rent of the demolished dwelling house or be allowed to reside free of charge, for one year in comparable dwelling house owned by the urban administration.¹⁰⁸ However the municipality as stated above neither gives annual rent of the demolished house nor allows the expropriated people to live for one year in the house owned by the urban administration. But according to the expropriated peoples the municipality gives them a pecuniary compensation which doesn’t replace their property. The substitute land which is given to them is far from the town and the land is not comparable with their previous possession. Because there previous possession is in front of the heart of the town and it has expensive value while the substitute land have lower price due to its grading. Therefore the dwellers are not entitled to the location value of their

¹⁰⁶ Interview with Zerihun, leader in Arba Minch municipality land management department, November 25/2011

¹⁰⁷ Interview with Tamrat Befikadu, engineer in Arba Minch municipality land department, November 25/2011

¹⁰⁸ Id., Art.8(4)(b)

holding. At this juncture it is better to see one case which is appeared to Gamo area high court through appeal.

The case is brought to Gamo area high court between Mr. Teshome Tekele as a plaintiff and Arba Minch town administration and Arba Minch university as a first and second defendant respectively. The plaintiff was forced to evacuate his possession which is around 1500 karee meter by the town administration since it is decided that the area is wanted for building referral hospital which is owned by Arba Minch University. The town administrations assess the amount of the property up to 993, 760 eth birr and as a result of grievance the plaintiff submitted to the administration the compensation amount is changed to 1,327,612 eth birr. And finally the plaintiff brought the case to this court due to the insufficiency of the compensation. When the plaintiff got the land from another person the administration assess the worth of the property as 1, 850,000 eth birr and charge 135.000 eth birr as a transfer fee at the time the transfer is made. The Gamo area court finally close the file by period of limitation since the case is brought after one year since it is require to be submitted within 30 days. The plaintiff again brought the case to the SNNP Supreme Court through appeal nevertheless the Supreme Court close the file by raising the reason that the plaintiff does not exhaust local remedies. When we see the above case the amount of compensation provided by the town administration is not take in to consideration the current cost of materials and insufficient to build the same house which is like before. More importantly as it is provided above there is a difference between the values of the property even if it is valued by the same body. Therefore from the above case one can reach to a conclusion that in case of valuation of property there is lack of uniformity and the town administration give high worth for the property for its benefit and give less value to the same property in case of expropriation as it is seen in the above case.

Therefore it can be concluded that the compensation paid in Arba Minch town seacha and abaya sub city is not in not in line with the law since compensation is paid after the holder evacuate the land while the law clearly requires compensation should precede evacuation. The other point here is the valuation of property and payment of compensation thereof shows lack of uniformity and valuation method adopted in the expropriation proclamation (Proclamation No. 455/2005) has a basic flaw. location has no value and owners are being compensated only the

“replacementcost” of buildings; More over with regard to valuation there is a tendency on the evaluation committee to be partial in the side of the government since they are composed from the expropriating body itself. The amount of compensation is not also sufficient to restitute the previous life of the expropriated people because it doesn't reflect the market value since such peoples are not only loss their property but also their social life and there economic source is also disturbed. Apart from this the finding shows that the substitute land provided by the municipality in the study area is not take in to consideration the value of the expropriated land because the practice reveal that the municipality give a land which is far from the main road which is graded as level 3 for the substitution of the land which is expropriated and found in the heart of the town.

There are two mode of compensation either in cash or in kind compensation when we see each of them compensation in cash it is the monetary compensation is payable it to termination of use right to the property situated on the land and permanent termination of user is not acceptable because the amount of compensation is said to be inadequate compared with duration of use right over land holding. And also have transfer such to their right most of the time use to determine market value but it is not fair because the market value may be up or down (fluctuate) this issue also the main question of the expropriated peoples.

The compensation also in-kind accordingly any individual or organ whose land holding is taken for public uses shall have the right to get compensation for his property as much as possible get equivalent land individual or in group land-land principle present in this proclamation this preferable by the land holder but there is problem it is difficult to get the land with the same level with before land , size, and also location may not the same so even if it is preferable than in cash compensation it have its own problem as stated above. The expropriation proclamation also clearly provides the urban administration should provide plot of urban land, to be used for the construction of a dwelling house. However the practical problem is the administrator gives a substitute land for the dwellers which is equal in size but the location and the area is not preferable and its price is also below the previous possession as a result of its location. I.e. the person who is expropriated from the area which is located in front of the main road is going to get a substitute land in the area which is far from the main town.

The other issue does the person have right to appeal to appropriate body, according to article 11(2) the person who are not satisfied on the expropriation can appeal in this issue in two sub cities most of the land holders have complain on the level of substitute land which is given to them. Generally on the adequacy of the compensation submit their grievance but still didn't get the answer through different delay as we know unreasonable delay considered as denial so the people are denial their right. From the interview conducted with the judges of Gamo area high court one of the judges named Mekuria states that there is a problem in grievance procedure first of all the grievance committee is composed from the peoples who are working for the expropriating body. So it is difficult to think that such grievance hearing committees are impartial and can better protect the interest of the people. Therefore according to the judge the people has a fear to freely submit its grievance because the grievance hearing committee is not impartial and the people expect that there is no any change that will happen as a result of the appeal.

The current federal as well as regional land law are silent on the jurisdiction of court to review of administration decision with respect to public purpose requirement article 15(2)(e). The organs not clearly stipulated because of this it create disparity as well as expose for corruption so it should be extended to determine whether really constitute public purpose or not should be determine.¹⁰⁹ In the interview mentioned above with the president of Gamo area high court the president states that the expropriation proclamation limit the power of regular courts and it is amount as the proclamation take the inherent law interpretation power of courts. The fact that the absence review by courts of due process of law thereof and the decision by the administrative organs narrow the right of citizens to access justice. The courts have no any power to determine a certain expropriation is for public purpose or not and also they don't have a power to review. This in turn give a long hand to the expropriating body since it is the body which decide on the issue of public purpose and at the same time it is this body who expropriate the land. According to judge woyesa since citizens have a constitutional right to acquire property the acts of the municipalities to expropriate property arbitrarily under the guise of public purpose and sufficient compensation is against the constitution and it should be corrected.¹¹⁰ According to the judges with regard to the determination of public purpose the problem is mainly on the expropriation

¹⁰⁹Girma kassa, cited above at note 26.

¹¹⁰ Interview with Mr. woyesa, judge in Gamo area high court, December 5/2011

proclamation since it doesn't give any power to courts to review the administrative decisions and the fact that the proclamation permit court intervention in case of amount of compensation only is not taking in to consideration the inherent power of courts.

Chapter four

4. Conclusion and Recommendation

4.1 Conclusion

In Ethiopia land is the main economic, political, social and cultural asset and the people's life is much intertwined with land. Under Ethiopian current legal framework as it is clearly provided by the FDRE constitution the power to issue laws which is related to land and natural resource is vested in the federal government and regional states has conferred with the power to administer

the land in their respective territory in accordance with federal laws. The property right of citizens is guaranteed under article 40 (8) of the FDRE constitution and land right is also protected and the holder has the right to use, to control, protect from illegal expropriation and transfer the same. Indeed this holding right is not absolute and there is limitation on property and land holding right of holders in case of expropriation with payment of commensurate compensation.¹¹¹ With regard to expropriation practice and the implementation of the law in Arba Minch town the finding shows the existence of some gaps between the law and the practice thereof.

Procedural activity is measure in case of expropriation to avoid arbitrariness and also to safeguard the interest of individual and to secure property right. The procedure are the public discussion, notice ,valuation ,compensation ,appeal etc. with regard to the procedures that should be followed during expropriation the law lacks clarity in many respect what is clearly envisaged so far is that it is woreda and urban administration that are empowered with the expropriation right and the fact that notice shall be given after completion of valuation it does not tell whether public discussion should conducted during the planning stage or there is no way to assert whether people should always be consulted or not .on other hand it serves as warning to inform the person about the amount of compensation and when dose vacate from the place but it should be for awareness creation. from the procedures the re- habilitation program should be the one and crucial because to save the people from different problems it should be put in mandatory way but the practice shows that even the urban administrator only focus on the expropriation and they didn't work on rehabilitation program.

Therefore it can be concluded that the practice with regard to public discussion in Arba Minch town during expropriation is not as such satisfactory and the expropriating body mainly focus on notification after it decide to expropriate and notice is also given after the completion of valuation. The act of the municipality to give notice personally to the holder in certain occasion and posting the same in notice board in another occasion without serving it to the holders is an arbitrary act and it is not in line with the spirit of the law. Generally as expressed above the law and practice have gap on the implementation the law.

¹¹¹ FDRE constitution, 2005, cited above at note 3, Art. 40(8)

The adequacy of compensation is still have no solution because the FDRE constitution states that commensurate amount of compensation should be given in case of expropriation. However the compensation scheme provided under other subsidiary legislations is not take in to account the wording of the constitution “commensurate compensation”. The compensation paid in Arba Minch town seacha and abaya sub city is not in line with the law since compensation is paid after the holder evacuate the land while the law clearly requires compensation should precede evacuation. The other point here is the valuation of property and payment of compensation thereof shows lack of uniformity. More over with regard to valuation method adopted in the expropriation proclamation (Proclamation No. 455/2005) has abasic flow in implementing the constitutional principle of payment of “commensurate” amount. In urban areas, location has no value and owners are being compensated only the “replacement cost” of buildings. The valuation process also mostly exposed for corruption because most of them are not experts and there is a tendency on the valuation committee to be partial in the side of the government since they are composed from the expropriating body itself. The amount of compensation is not also sufficient to restitute the previous life of the expropriated people because the compensation does not reflect the market value.

The other issue focus on the public purpose there is so many problems connected with public purpose during expropriation there is no clear limitation on the power of the government that protect peoples land and property right. The proclamation itself focuses on the development rather than the right of the peoples. The expropriating body only focuses on the benefit that gains from the investor or from project they didn’t try to protect the people’s right.

Therefore the limitation of the law in defining what is meant by public purpose and better development give the municipality an absolute power to expropriate any land which they think it is necessary for better development even there act is an arbitrary one. Even though it is not as such in alarming rate there is an abuse of right of a land holder by the expropriating body in the study area under the guise of public purpose.

With regard to grievance procedure the people doesn’t has confidence to freely submit their grievance because the grievance hearing committee is not impartial and the people expect that there is no any change that will happen as a result of the appeal. With regard to the power of the courts the expropriation proclamation limit the power of regular courts and the proclamation

seems take away the inherent judicial power of courts and currently the courts doesn't have any power to review whether a certain expropriation is justified by public purpose or not.

Generally there are problem and also gap between the law and the practice as expressed above and the expropriating body mostly didn't follow the law when conduct expropriation activity.

4.2 Recommendation

- The expropriation proclamation does not unequivocally list down the procedural step that the government should follow during expropriation if not it may cause the violation of right of the people.
- The legislative reform should not be limited only to the federal level the SNNP regional state should be come up with its own proclamation to implement the compensation, public purpose, and other procedural arrangement should include in the law because the federal expropriation proclamation and compensation regulation are not comprehensive enough to cover all aspect in SNNP, therefore it should be adopted.
- Professional land evaluator should be employed because this stage is highly exposed for corruption and it also exposes the people for unjust and inadequate amount of compensation most of the time those evaluator are not professional even if the law sate who should be the evaluator but it didn't applicable in practice because of this the urban administration should be avoid corruption activity by using professional land evaluator.
- Not only professional, the evaluators should be impartial, this is achieved through by organizing the evaluation committee from different experts which are not from the expropriating body itself.
- The government should be pay just amount of compensation to land holder whose land have been expropriated the base of compensation should be modified because it is not put in to consideration the income earning activity or livelihood of the land holders.

- It is better to strictly follow up by the officials responsible for expropriation during the expropriation process to ensure whether there is protection of public purpose or not.
- On the issue of rehabilitation the urban administration should create awareness to the people on how they should start their life. However, most of the time they are not willing to accept their new life because they have no other skill and also the compensation they receive is usually wasted because of lack of awareness on how to manage it. Thus, the urban administration should be more focused in the rehabilitation program.
- The urban administration should follow-up the activity of expropriation on whether it starts with intended time, if it has environmental effect before as well as after it is started with the intended project time, there should be discussion with the people.
- The compensation evaluation system depend on the market value sometimes it may go up or down and this create fluctuation on the compensation so there should be fixed evaluation system by considering the value of property (it may vary from one to other property) but there should be arrangement on the compensation.
- The main problem in the two sub cities are the peoples doesn't have trust on the committee established by the expropriating body. Therefore, there should be grievance hearing committee which is impartial and which is accessible to the people
- The government and courts must encourage people to go by appeal whenever there is grievances and injustice done by administration.
- Despite that legal requirement for a written notice to be delivered in person to affected people; in practice authorities do not follow it. Notice is just posted on the notice boards, and they might be missed by the affected people. So the urban and rural administrations have to correct this practice.

- The existing land expropriation proclamation should be amended so as to balance development and protection of human right of citizens.

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